Meridian & Rao Legal Associates, Hyderabad

Internal Case File — Privileged & Confidential

BlueWave Constructions Pvt. Ltd. vs. Orion Infra Solutions Pvt. Ltd.

Commercial Suit No. CS(COMM)/112/2024 — Breach of Contract

Illustrative / synthetic case file created for training and demonstration purposes (e.g., testing retrieval-augmented generation systems). All names, dates, case numbers, and facts are fictional and do not correspond to any real person, entity, or proceeding.

1. Case Overview

Case No.	CS(COMM)/112/2024
Court	Commercial Court, City Civil Court, Hyderabad
Plaintiff	BlueWave Constructions Pvt. Ltd.
Defendant	Orion Infra Solutions Pvt. Ltd.
Nature of Claim	Breach of EPC (Engineering, Procurement & Construction) contract; recovery of damages and liquidated damages
Claim Amount	₹4,32,00,000, plus interest at 12% per annum from date of breach
Firm's Client	Plaintiff (BlueWave Constructions Pvt. Ltd.)
Handling Advocate	Adv. Rahul Deshpande, Senior Associate

2. Brief Facts

The plaintiff and defendant entered into an EPC contract dated 5 January 2023 for construction of a 40,000 sq. ft. warehouse facility at Patancheru, Hyderabad, for a total contract value of ₹8,60,00,000, with a stipulated completion date of 4 January 2024. The contract contained a liquidated damages clause (Clause 14.2) providing for deduction of 0.5% of contract value per week of delay, capped at 10% of contract value.

Construction was delayed substantially. As of the stipulated completion date, only approximately 62% of the work stood completed. The defendant attributes the delay to force majeure (extended monsoon disruption and a cement shortage in the region), while the plaintiff contends that the defendant failed to mobilize adequate manpower and materials from the outset, and that the force majeure clause (Clause 18) was not properly invoked within the notice period required under the contract. The plaintiff terminated the contract on 20 February 2024 and engaged an alternate contractor to complete the balance work, incurring additional cost.

3. Chronology of Proceedings

Date	Event	Notes / Outcome
5 Jan 2023	EPC contract executed	Completion date fixed as 4 Jan 2024
11 Nov 2023	Defendant's first force majeure notice	Cited monsoon disruption; plaintiff disputes timeliness under Clause 18.3
4 Jan 2024	Stipulated completion date lapses	Approximately 62% work completed per joint site inspection
20 Feb 2024	Termination notice issued by plaintiff	Contract terminated citing failure to complete and invalid force majeure claim
15 Apr 2024	Suit filed	Filed before Commercial Court along with application for interim relief

3 Jun 2024	Summons served on defendant	Defendant granted 30 days to file written statement
10 Jul 2024	Written statement filed	Defendant denies breach; asserts force majeure and counterclaims for unpaid running bills
2 Sep 2024	Replication filed by plaintiff	Force majeure notice challenged as defective and untimely
28 Oct 2024	Issues framed	Nine issues framed, including validity of force majeure invocation and quantum of damages
14 Jan 2025	PW-1 (plaintiff's project manager) examined-in-chief	Deposed on site progress records and delay computation
20 Feb 2025	Expert witness (delay analysis) affidavit filed	Independent scheduling expert's report tendered as evidence

4. Documents on Record

Exhibit No.	Description	Relevance
Ex. P1	EPC contract dated 5 Jan 2023, with all schedules	Establishes scope, timeline, and liquidated damages clause
Ex. P2	Monthly progress reports (Jan 2023 – Jan 2024)	Documents actual physical progress against schedule
Ex. P3	Force majeure notice dated 11 Nov 2023 and plaintiff's reply	Central to dispute over validity of force majeure invocation
Ex. P4	Termination notice dated 20 Feb 2024	Establishes date and grounds of termination
Ex. P5	Invoices for alternate contractor engaged post-termination	Supports quantum of additional completion cost claimed
Ex. D1	Regional cement supply shortage notification (industry body)	Defendant's evidence supporting force majeure claim
Ex. C1	Expert scheduling report dated 20 Feb 2025	Independent analysis attributing delay causes between parties

5. Key Legal Issues

- Whether the force majeure notice dated 11 November 2023 was issued within the time and form required under Clause 18.3 of the contract
- Whether the delay is attributable to force majeure events, contractor default, or a combination of both, and in what proportion
- Enforceability and computation of the liquidated damages clause (Clause 14.2) as against actual proven loss
- Validity of the termination and entitlement to recover the additional cost of completion through the substitute contractor
- Maintainability of the defendant's counterclaim for unpaid running bills in the same proceeding

6. Current Status

The matter is at the evidence stage. Plaintiff's witness examination is substantially complete; the independent scheduling expert's report has been filed and the expert is expected to be examined next. Defendant's evidence is yet to commence.

7. Next Steps

- Next hearing: 9 May 2025 — examination of independent scheduling expert (Ex. C1)
- Prepare cross-examination outline for defendant's anticipated force-majeure witnesses

- Finalize computation of damages claim reconciling liquidated damages cap with actual completion cost evidence
- Evaluate settlement posture in light of expert report findings once expert testimony concludes

8. Internal Notes (Privileged & Confidential)

Client has indicated the commercial relationship with the defendant is unlikely to continue regardless of outcome; full recovery of damages remains the priority over any settlement discussion. Internal cost-benefit note on expert witness fees to be circulated separately.

9. Relevant Contractual and Legal Provisions

- Clause 14.2 of the EPC Contract — Liquidated damages at 0.5% of contract value per week of delay, capped at 10% of contract value
- Clause 18 of the EPC Contract — Force majeure, including notice requirement within 7 days of the triggering event
- Section 73, Indian Contract Act, 1872 — Compensation for loss or damage caused by breach of contract
- Section 74, Indian Contract Act, 1872 — Reasonable compensation where a sum is named as liquidated damages, not exceeding the amount stipulated
- Commercial Courts Act, 2015 — Procedural framework governing case management and timelines in the present suit

10. Precedents Relied Upon

The following categories of precedent are being relied upon; specific citations to be finalized by the handling advocate ahead of final arguments:

- Authorities on strict construction of force majeure clauses, including the requirement of timely notice as a condition precedent to relief
- Authorities on the interplay between Section 74 of the Contract Act and liquidated damages clauses, including the requirement to prove genuine pre-estimate of loss where a party seeks damages beyond the capped amount
- Authorities on reliance on independent expert delay-analysis reports in construction and infrastructure disputes

11. Risk Assessment

The plaintiff's position is aided by the apparently defective and delayed force majeure notice, and by the independent expert's report attributing the bulk of the delay to the defendant's mobilization failures. The principal risk is the liquidated damages cap under Clause 14.2, which may limit recovery notwithstanding a higher quantum of actual proven loss; arguments on recovering damages beyond the cap will need to be carefully framed under Section 74 of the Contract Act.

12. Witness List

Witness	Role	Status
PW-1 — Project Manager	Plaintiff's site progress and delay records	Examined-in-chief completed
PW-2 (anticipated) — Finance Head, BlueWave	To depose on quantum of loss and alternate contractor costs	Not yet examined; expected after expert testimony
Court Witness — Independent Scheduling Expert	Author of delay analysis report (Ex. C1)	Report filed; examination scheduled next hearing
DW-1 (anticipated) —	Expected to testify on force majeure impact at site	Not yet examined; defendant's evidence stage pending

Site Engineer, Orion Infra		

End of document. Internal reference: MER-COMM-2024-112 (synthetic training corpus).